

Bavarian Nordic: the reservation price the market forgot

A Danish vaccine house with two engines — a recurring travel-health franchise and a sole-supplier government preparedness business — that private equity tried to buy at DKK 250 and 40% of the register refused. The bid died in November 2025; the information didn't. We bought at DKK 181 inside a tape-verified band, underwritten by verified operating facts, with a frozen 30% call on a renewed approach. Today the company delivered the half-year print that graded the thesis: a second guidance upgrade, a new DKK 750M buyback, and a +9% tape.

POSITION

190 sh @ DKK 180.96

Half-starter (~0.5% of deployable at entry) · CPH listing · PFIC-clean

MARK (AUG 21 CLOSE)

DKK 209.40 · +15.7%

+9.1% today on ~10× normal volume; day high 212.4

COURT RECORD

Blue won, 2026-07-21

Red 7.5 WAIT vs Blue 7.0 STARTER — red's pillars ran on a stale guide

THE OPTION LEG

Re-offer call, p = 0.30

Frozen 2026-07-21 · resolves by Nov 2027 · blue breakeven ~4–5%

THE BUSINESS

Two engines: one recurring, one sovereign

Travel Health (~DKK 3.0bn guided 2026) is the recurring engine: rabies (RabAvert/Rabipur, 78% US market share), tick-borne encephalitis (Encepur), typhoid and cholera, plus the newly launched chikungunya vaccine Vimkunya — now in the US and 14 European countries. Q2 2026 travel-health revenue grew 45% (56% adjusting for discontinued partnerships), with rabies +55% and Encepur +58%. This is demand that recurs with human movement, not with outbreaks.

Public Preparedness (~DKK 2.5bn guided 2026) is the sovereign engine: the world's preferred mpox/smallpox vaccine (JYNNEOS/IMVANEX/IMVAMUNE), sold to governments building stockpiles. Lumpy by quarter, contracted by nature — ~DKK 2.3bn of 2026 already secured, and ~DKK 800M already secured *for 2027*. The US government exercised \$97M of freeze-dried JYNNEOS options in Q2; another >DKK 700M contract landed from an undisclosed government.

Q2 2026 REVENUE

DKK 2,034M · +23%

EBITDA DKK 925M — a 45% margin quarter

ROIC

18.2%

vs 13.3% a year ago

GROSS MARGIN

61% (Q2)

Product mix + manufacturing performance

BALANCE SHEET

90% equity ratio

DKK 2.36bn securities+cash, negligible debt

THE SPECIAL SITUATION

DKK 250 was bid. 40% of the register said no.

In 2025, Nordic Capital and Permira ran a full tender for Bavarian Nordic at DKK 250 — best and final. It lapsed on November 5, 2025 with 60% tendered: short of the threshold, because an ATP-led bloc of roughly 40% of the register **refused a 38% premium in cash.**

A lapsed bid is not a dead fact. It is a revealed reservation price: the most informed, largest holders told you — with capital, not words — that the business is worth more than DKK 250 to them. That number, not a DCF, anchors the ceiling of this position.

- **The bid is legally dead.** A re-offer bar of ~12 months applies (source-conflicted at court; treated as clearing by ~November 2026).
- **The asset got cheaper while the bidders' thesis aged.** Since the tender lapsed the company has raised guidance twice and the stock spent months 25–30% below the refused price.
- **PE appetite was demonstrated, not hypothesized.** The dormant M&A call is why the position tolerates zero carry: it is priced as an option, frozen at $p = 0.30$ by November 2027, where blue's breakeven was ~4–5%.

THE COURT

Red said WAIT. Blue won on verified facts.

Both benches argued from the same record on 2026-07-21; the ruling turned on *whose facts were fresher*.

RED (7.5 — WAIT)

BLUE (7.0 — STARTER, WON)

2027 revenue cliff when
mpox stockpiling normalizes

Ran on the **stale February guide**. May-13 Q1 had already raised FY26 to DKK 5.5–5.7bn / ~28% EBITDA with preparedness *up*, BARDA options exercised

Fair multiple — nothing
cheap at ~10× stale EBITDA

On the raised guide: ~8× EV/EBITDA with ~DKK 3bn net cash and a completed DKK 500M buyback

Dead money: no dividend
path, no catalyst <12
months

Conceded — and size-capping. Hence a *half*-starter, not conviction size

Entry discipline: the 172–203 band was **tape-verified** (175 bought twice); 190 shares at DKK 181 = ~0.5% of deployable. Adds were gated on three tells: a re-approach signal, a 172–175 retest, or a **new capital-return program**. Remember that third gate.

TODAY — AUGUST 21, 2026

The print: three announcements before the open

At 07:43, 07:48 and 07:51 CEST, Bavarian Nordic filed a guidance upgrade, a new buyback, and the H1 report. The tape opened at 200 and closed at **209.4, +9.1%**, on ~1.37M shares — roughly ten times a normal day. Day high 212.4.

Guidance: upgraded for the second time this year

DKK M	ORIGINAL	MAY 11	AUG 21
Revenue	5,000–5,200	5,500–5,700	~5,700
— Public Preparedness	1,800–2,000	2,300–2,500	~2,500
EBITDA margin	25%	~28%	~30%

Implied FY26 EBITDA $\approx$ DKK 1.71bn — versus ~1.3bn under the original guide red argued from.

Capital return: the third add-gate fired

The DKK 500M buyback completed in July; a **new program of up to DKK 750M** starts in Q3, with repurchased shares to be *cancelled*. Court's concession to red was "no path for the ~3bn cash." Management just answered: ~DKK 1.25bn of announced return in a single year, ~8% of the market cap at our entry.

The win isn't the 9% — it's the grade

Position P&L today: +DKK 3,300 (~\$510); since entry +DKK 5,400 (~\$835), +15.7%. Small in dollars — a half-starter is supposed to be. What's large is the information:

- **Blue's central claim is now twice-confirmed.** The thesis was that the May raise was real and the market was still trading the stale February story. Companies whose raised guides are fake do not raise them *again* and attach a 45%-margin quarter.
- **Red's 2027 cliff got smaller in public.** ~DKK 800M of 2027 preparedness revenue is already secured, plus a >DKK 700M contract spanning 2026–27 and exercised US options. The cliff argument now fights disclosed backlog, not projections.
- **The dead-money concession is being retired by management.** Zero-carry was the reason this was a half-starter. A rolling cancel-the-shares buyback is carry.
- **The refused DKK 250 is 19% above even today's close.** The reservation-price anchor survives the rally with room to spare.

What cut against us (report honestly): Vimkunya's FY26 revenue was cut from DKK 250M to 200M because CDC's ACIP recommendation — issued April 2025 — has still not been published in the MMWR, stalling US uptake. This is the *named US vaccine-policy tail from our own kill list* showing up in miniature: real, contained (~1% of revenue), and worth watching precisely because we predicted its shape. Also: H1 operating cash flow was –DKK 401M on delivery phasing — the cash builds in H2, but verify it does.

VALUATION — INTERIM, PENDING RECOURT

The E rose with the P: still $\sim 8\times$ EV/EBITDA

MARKET CAP @ 209.4

DKK 15.8bn

75.7M shares net of treasury

NET CASH (H1)

 $\sim$ DKK 2.2bn2,357M securities+cash – $\sim$ 139M debt; down from 3.3bn at FY25 via buyback + H2-weighted deliveries

EV / FY26E EBITDA

 $\sim 8.0\times$ EV $\sim$ 13.6bn $\div$ $\sim$ 1.71bn (guide: $\sim$ 5.7bn $\times$ $\sim$ 30%)

SAME MULTIPLE AT ENTRY

 $\sim 6.7\times$

The rally roughly kept pace with the estimate revision

Scenario tree (INTERIM — the court owes us a ratified FV)

SCENARIO	WEIGHT	VALUE/SH	MECHANICS
Bear — preparedness fades post-2026	0.25	$\sim$ 140	FY27 EBITDA $\sim$ 1.2bn @ $7\times$ + net cash
Base — franchise holds, modest re-rate	0.45	$\sim$ 215–230	Mid-cycle EBITDA 1.5–1.6bn @ 9–10 $\times$ + cash; buyback shrinks the count
Deal / strategic — the option pays	0.30	$\geq$ 250	Reservation-price floor; standstill clears $\sim$ Nov 2026

Probability-weighted: $\sim$ DKK 205–215 — **the market closed today almost exactly on our tree.** Under desk doctrine, priced = FAIR: hold the core, no add, and let the option leg and the long-term tax clock do the work.

BOOK ACTIONS

What today changes in the book — and what it doesn't

- **FIRED** Add-gate #3 (new return program) technically fired — but price is 3% above the top of the 172–203 entry band and sitting on the probability-weighted FV. A gate opening does not overrule the band: **no add**.
- **DISCOVERY** The 215/260 trim rungs are not on the broker. The 8/05 exit-band derivation recorded them RESTING, but the live order pull shows no BAVA orders (the rest of that batch is resting). Fortunate: the 215 rung was a LOW-confidence placeholder that today's numbers make stale — nothing could fill at it. The record is corrected.
- **OWED** Catalyst review fires now. Doctrine: trims are catalyst-reviewed, not pulled. The recourt the record already requested (derive a real probability-weighted FV) is now mandatory before any trim rung stages. The 260 rung's logic — deliberately above the DKK 250 reservation price so a resting order can never sell out an approach at a leak price — survives and should return.
- **STANDING** Hard-event rule unchanged: any renewed approach or named-price speculation cancels all resting sells and routes to court. The re-offer window opens ~November 2026; the frozen 0.30 call resolves by November 2027.

RISKS

What would change our mind

- **Guide reversal:** FY26 landing below DKK 5.7bn / preparedness below 2.3bn secured — the raise unwinding would resurrect red's entire case.
- **US policy tail:** HHS/vaccine-policy action touching JYNNEOS or the travel franchise. The ACIP/MMWR stall on Vimkunya is the small-scale proof this tail is live.
- **BARDA/US options not exercised** on future tranches — the sovereign engine's visibility is contracts, and contracts can stop.
- **ATP bloc selling down:** the reservation price is only as good as the register that set it. A large refusing holder distributing stock deletes the anchor.
- **Re-offer bar expiring quietly:** if November 2027 passes with no approach, the 0.30 call grades MISS, the option premium in our tree goes to zero, and this must stand as an $\sim 8\times$ operating story or be exited.
- **H2 cash conversion:** –DKK 401M H1 operating cash flow must reverse with H2 deliveries; if it doesn't, the buyback capacity story weakens.

Sources: Bavarian Nordic H1 2026 interim report and company announcements 34–36/2026 (Aug 21, 2026); Nasdaq Copenhagen tape; desk court record 2026-07-21; exit-band derivation 2026-08-05. Position and P&L from IBKR. Valuation tree is INTERIM pending court ratification. This is a desk research memo, not investment advice.